#12/#13 If q is also closer than T2, then remove it from the list of possible centroids, so that it won't be the centroid of a new canopy.
#14 Add current canopy to the method result.
#15 Return the list of canopies created, and the list of their centroids.

At a high level, the algorithm can be described by a few simple steps:

1. Select and remove a random point p from the dataset, and initialize a new canopy with it (lines #6-#7);
2. For each remaining point q, check if the distance between p and q is smaller than a threshold T_1 (lines #8-#10); if it is, add q to current canopy (line #11);
3. If said distance is also smaller than a second threshold T_2, remove q from the list of possible canopy centroids (lines #12-13), so it won't be the center of a new canopy;
4. Repeat steps 1-3 until no point is left (line #5).

This process produces spherical agglomerates with radius (at most) T_1; the inner radius T_2 identifies the critical distance within which points can be confidently considered to be related to each other (or equivalently, in same cluster): while a point q (at steps 2-3 above) could have already been added to a different canopy, if it's within the inner radius of current canopy's centroid c, we are confident the pair (q, c), is maximally correlated, and even if we chose q as a centroid, we couldn't form a canopy that fits q better.